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CANADA'S ROAD TO SERFDOM

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"When the course of civilization takes an unexpected turn," Friedrich Hayek (1944) writes in *The Road to Serfdom*, "we find ourselves threatened by evils associated with past ages of barbarism" (p. 10). As Canada faces an uncertain and unenviable economic future, the prevailing consensus has increasingly turned against the economic system to which nations the world over—Canada included—owe their wealth and success: capitalism. Capitalism is unpredictable and unreliable, unreasonable and unjust; to ensure prosperity, some argue, we must turn to the guiding hand of the state. Indeed, socialism has garnered tremendous support in Canada (Clemens and Globerman, 2023).

The "vast majority" of Canadians reject the authoritarianism that has marked other socialist regimes in favour of democracy (Angus Reid Institute, 2022). Indeed, we hold dear the ideals of liberty—personal liberty, that is; some among us argue that economic liberty is but a thin veil for greed. However, according to Hayek, when we sacrifice the dynamism of capitalism for the order and security of the state, we not only lose prosperity but also liberty—economic and personal.

Canada has flouted these warnings. The past few years have witnessed an extraordinary expansion of government intervention in the private sector (Clemens et al., 2023). Already, this unprecedented enlargement of economic authority has led to an increasing boldness on the part of governments to interfere with societal affairs as well. Under the pretext of protecting Canada's entertainment industry, Bill C-11 has struck at the heart of democracy itself: freedom of expression (Pardy, 2021).

Now, Canada stands at a precipice, and in the chasm beneath lies a new age of barbarism. We witness a government expanding at the expense of free markets and free expression, fueled by the sentiments of a generation far removed from the ideological horrors of the 20th century. These circumstances are, to the great consternation of students of history, mirrored in Hayek's examination of the links between economic control and totalitarianism. If we fail to heed Hayek's warnings, and if history repeats itself as it so often does, Canada may very well be on the road to serfdom.

Socialism's rise in popularity is, at least in part, driven by a desire for continued economic security amid stagnation. According to a survey report by Clemens and Globerman (2023), 50% of Canadian youth, aged 18 to 24, believe socialism to be the ideal economic system. Indeed, this diminishing confidence in capitalism corresponds with stagnating productivity. Canada's real GDP per capita grew by a paltry 0.8% per year over the last decade, Canada's "lowest rate of growth since the 1930s" (Cross, 2023). But the traditional definition of socialism—state ownership of the means of production—holds little water today; the majority of respondents—around 65%—define socialism as the government providing more social services or a minimum income (Clemens and Globerman, 2023). Economic security is a key priority for every household. Therefore, in this current period of economic stagnation, calls for more transfer payments are logical, albeit only at a short-sighted, microeconomic level. But for those who have paid attention to Hayek, Canadians are calling for the wrong kind of security.

Hayek identifies two types of economic security. The first is a guarantee against "severe physical privation, the certainty of a given minimum of sustenance for all" (p. 124). During the wartime rationing of 1944, Hayek nevertheless declared that "in a society that has reached the general level of wealth which ours has attained... there can be no doubt that some minimum of food, shelter, and clothing... can be assured to everybody" (p. 124). Eight decades later, this still rings true. But this is not generally the security that most Canadians demand; indeed, poverty researcher Christopher Sarlo tentatively notes an "apparent decline in poverty rates to an all-time low" (2023: 53).

Rather, Canadians seem to be calling for Hayek's second type of economic security, which, unlike the first, is not a guarantee from deprivation, although it most certainly achieves this. Instead, this form of economic security is a guarantee for a "relative position which one person or group enjoys compared with others" (p. 124). It is, in effect, a blank cheque for a standard of living pegged at that of others, regardless of whether their employment—or lack thereof—warrants the same degree of income. Clemens and Globerman (2023) unsurprisingly found an inverse relationship between the popularity of a tax and the degree to which respondents assumed they would have to pay for it. When asked how to pay for socialism—transfer payments—an overwhelming 72 percent of respondents supported a wealth tax on the top 10 percent of high-income citizens; however, a 20% value-added tax with exemptions for lower-income citizens—far likelier to adequately support the genuinely deprived—was supported by 16% (Clemens and Globerman, 2023).

Our stagnating economy subverts expectations of growth, and in response, Canadians demand greater economic security. Income must adhere to these erroneous expectations regardless of market conditions, and the state—through redistribution—must pay for the difference. In addition to resource misallocation—the market being the surest determinant of societal benefit—such a policy also leads to the "abolition of all freedom in the choice of one's employment" (Hayek, p. 128). When politics, not productivity, determines who prospers and who pays, one's choice of employment "must be made for him by those who control the distribution of the available income" (Hayek, p. 129). "Those who would give up essential liberty to purchase a little temporary safety," declares Benjamin Franklin, "deserve neither." Likewise, if Canadians choose security at the expense of liberty, we may find both to be quite temporary indeed (Hayek: 137).

Rising support for government intervention and redistribution demonstrates that Canadians are—as Hayek put it—no longer willing to "leave anything to the simple power of organic growth" (p. 187; Clemens and Globerman, 2023). These sentiments are largely reflected in recent Canadian economic policy, which increasingly eschews market-friendly reforms in favour of debt-financed transfer payments and subsidies (Robson and Mawakina, 2022). For example, in the World Bank's Ease of Doing Business ranking, Canada fell from 4th place in 2006 to 22nd place in 2018 (Deloitte, 2023). Also in 2018, Canada was among the worst-performing OECD members in terms of its regulatory burden.

(OECD, 2018). Restraining Canada's expansive regulatory state appears not to be a priority for policymakers: according to Statistics Canada (2022), Canadian businesses faced the same degree of regulatory burden in 2022 as they did in 2014. Unsurprisingly, Canada has found it difficult to encourage business investment.

Robson and Mawakina (2022) found that Canada has the lowest ratio of business investment to workers compared to other high-income economies, ahead of only New Zealand. Canada's response to this situation has thus far been confused and misguided, if not outright counterproductive. For example, Canada's 2022 federal budget "leaned toward more transfer payments and direct federal consumption spending" and government borrowing required to finance these policies has crowded out private investment (Robson and Mawakina, 2022, p.3, 18). All in all, Canada's economic policy has been "completely inconsistent with a predictable, investment-friendly approach" (Robson and Mawakina, 2022, p. 18)

According to Hayek, "the increasing veneration for the state, the admiration of power, and bigness for bigness' sake" has blinded Canadian lawmakers from honest self-appraisal of Canadian economic policy. Rather than unleashing the "simple power of organic growth" through regulatory reform, consistent fiscal policy, and reduced deficits, recent efforts to encourage business investment seem reliant on the expansive spending power—or more accurately, borrowing power—of the state (p. 187). This piecemeal yet unwieldy approach recently saw the Canadian government spend several billion dollars to subsidize the construction of a Volkswagen "gigafactory" in Ontario (Austen, 2023). Overall, this is a vicious cycle in which the Canadian government seems entirely complicit: state intervention through regulations, taxes, or spending (and the subsequent crowding out) decreases growth and competitiveness, which is then used to justify further state intervention.

Hayek argues that economic liberty declines in tandem with liberty at large; already, declines in the latter are becoming apparent in Canada. Introduced in the House of Commons in 2022, the Online Streaming Act, or Bill C-11, empowers the state to manipulate the "discoverability" of internet content (Karadeglija, 2022). Since then, the extent of the Act's powers has been obscured by a flurry of confusion; even after becoming law in 2023, Bill C-11's "broad language means it's unclear what it will do in practice" (Raycraft, 2023). Regardless, the mere uncertainty over whether Bill C-11 may suppress content "because its message offended government policy" is enough cause for concern (Pardy, 2021). The control of knowledge is a key aspect of restraining liberty, according to Hayek: "If all the sources of current information are effectively under one single control… even the most intelligent and independent people cannot entirely escape" (p. 158). Bill C-11 may accomplish just that.

From socialism's tremendous rise in popularity to a vicious economic cycle hemorrhaging prosperity to a brazen attack on free expression, many aspects of Canada's present situation are disturbing. But what is more disturbing is that Hayek would not find our circumstances unprecedented, for these are the very circumstances that Hayek warns against in The Road to Serfdom. During the 20th century's ruinous early half Hayek personally witnessed the rise of illiberal ideologies, an economic tragedy, and the impotence of planning. He had also witnessed liberty's downfall to the all-powerful state, from Germany to Italy to Russia. And therein lies the value of The Road to Serfdom. "If in the first attempt to create a world of free men we have failed," Hayek writes, "we must try again" (p. 246). Now equipped with history's lessons, let us ensure that our latest attempt does not stray from the road to liberty. ◆

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